

This is the same George Shultz who later became Ronald Reagan’s secretary of state.



FIGURE 11: Apparently, a lens cap has been dropped on the ground. Now turn the page.

Shultz called him one evening to rescind the offer.

At the time of writing, forty-four years later, nothing has happened in economics and social science statistics—except for some cosmetic fiddling that treats the world as if we were subject only to mild randomness—and yet Nobel medals were being distributed. Some papers were written offering “evidence” that Mandelbrot was wrong by people who do not get the central argument of this book—you can always produce data “corroborating” that the underlying process is Gaussian by finding periods that do not have rare events, just like you can find an afternoon during which no one killed anyone and use it as “evidence” of honest behavior. I will repeat that, because of the asymmetry with induction, just as it is easier to reject innocence than accept it, it is easier to reject a bell curve than accept it; conversely, it is more difficult to reject a fractal than to accept it. Why? Because a single event can destroy the argument that we face a Gaussian bell curve.

In sum, four decades ago, Mandelbrot gave pearls to economists and résumé-building philistines, which they rejected because the ideas were too good for them. It was, as the saying goes, *margaritas ante porcos*, pearls before swine.